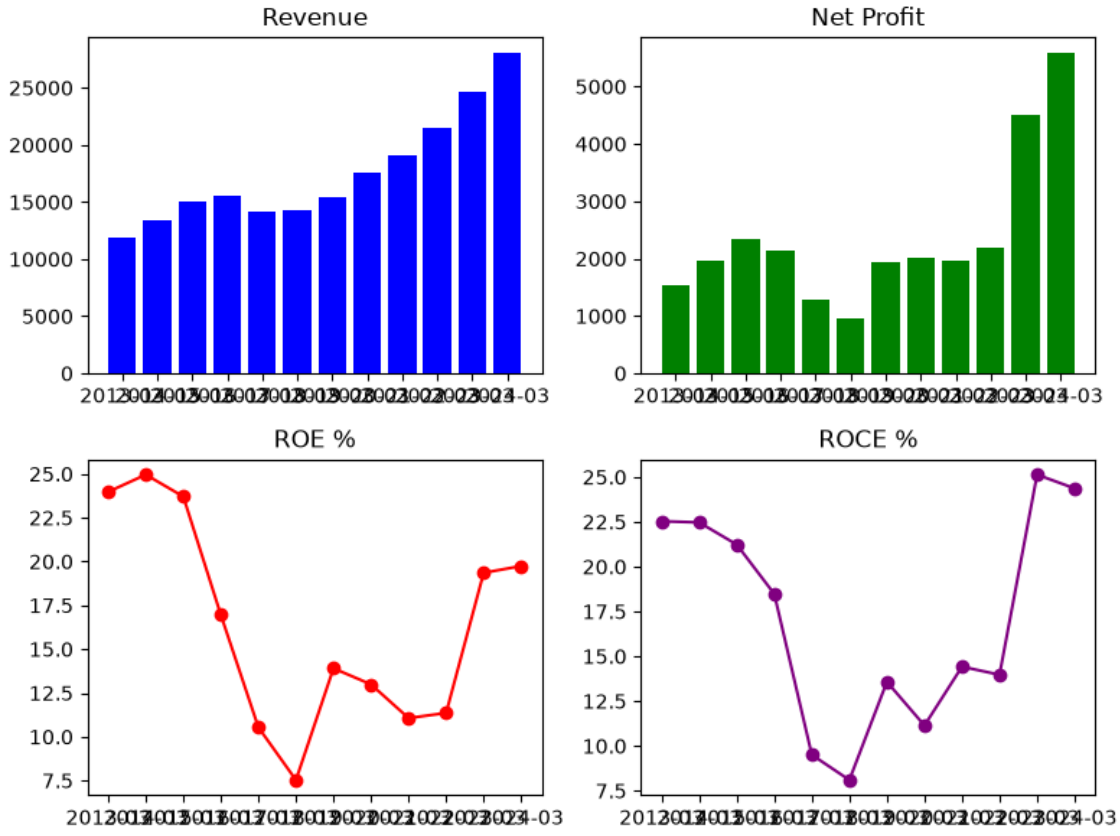
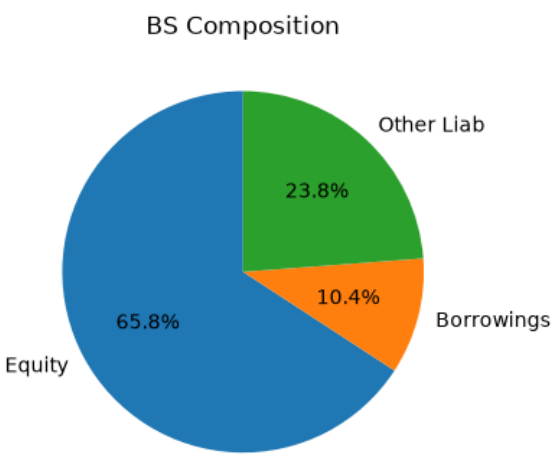
Dr Reddys Laboratories Ltd (DRREDDY)

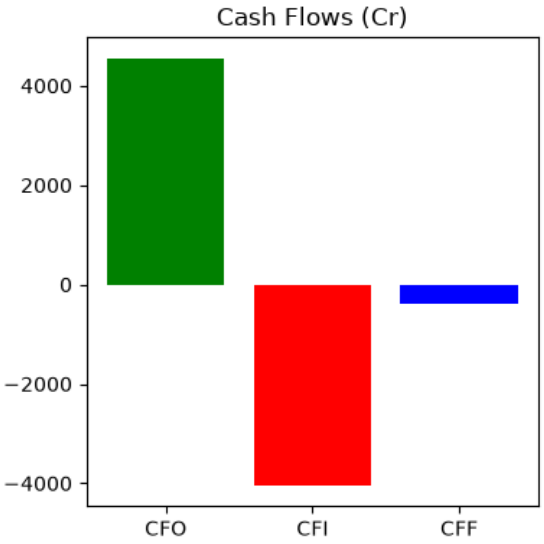
ROE	19.74%	ROCE	24.37%
D/E	0.07	OPM	28.32%
FCF	509 Cr	Net Profit Margin	19.91%

Performance Trends



Balance Sheet & Cash Flows





Pros & Cons

Pros: Strong free cash flow generation over 5 years signals healthy business fundamentals, Operating profit margin above 25% indicates strong pricing power and cost discipline, Net profit compounding at above 20% over 5 years creates significant shareholder value, Very high interest coverage ratio reflects negligible financial stress from debt servicing, Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding, Return on equity improving for 3 consecutive years shows strengthening business quality, Revenue growing slower than profits shows improving operating leverage and scale benefits
Cons: Vulnerable to macroeconomic cycles, input cost inflation, and sector-wide margin volatility

Capital Allocation Badge: Reinvestor